SOLO ACQUISITION AND RESTRICTED INCENTIVES RESERVE FRAMEWORK

SOLOMON DAO LLC

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DP-00002 (MEM): SOLO Acquisition and Restricted Incentives Reserve Framework - Summary

Status: Draft (proposal memorandum; to be voted)

Version: 1.0.2

NON-BINDING SUMMARY. This memorandum is informational only and is subordinate to the governing instruments and any adopted resolutions.

In the event of conflict, the normative resolution text controls.

Summary

This proposal authorizes the DAO to acquire SOLO using treasury funds and to hold all acquired SOLO in a segregated **Restricted SOLO Incentives Reserve**.

The purpose of this reserve is to provide a credible, prefunded path for future SOLO backed incentive programs intended to reward participation, deepen alignment, and support long term ecosystem growth. This includes, without limitation, the future pips program and any substantially similar successor or related participation based framework later approved by governance.

This proposal earmarks that purpose now so that participants can have confidence that SOLO backing has been set aside in advance and cannot be redirected by signers, operators, contributors, or committees acting on discretion alone.

This proposal does not establish the live Incentives Subcommittee or appoint its members. Those matters will be brought in a later proposal. Until that later governance action is adopted, no person or body may deploy, distribute, commit, or otherwise use reserve SOLO.

Rationale

A participation based incentive program only has credibility if there is a credible path from participation to the asset being promised or implied.

If the DAO intends to use SOLO-backed incentives to reward durable participation, it is better to earmark that backing now than to leave it to future discretion.

This proposal is intended to solve that credibility problem without prematurely locking the DAO into a single incentive design.

This structure preserves three things at once:

- confidence that incentive backing exists and has been ring fenced;
- flexibility to design the actual program architecture; and
- sufficient operational discretion to finalize and implement program details in a way that reduces front running, gaming, sybil behavior, and other exploitative positioning before launch.

There is also a clear timing advantage. With SOLO trading below treasury implied value ("NAV"), the DAO has an opportunity to build a restricted incentives reserve on attractive terms and use treasury capital to strengthen long term alignment across the network.

Key Parameters

- **Amount:** 1,000,000 USDC
- **Order Type:** Recurring
- **Program Duration:** Up to 60 days
- **Order Quantity:** Variable recurring purchases, sized operationally within the approved cap and execution window
- **Order Frequency:** Recurring over a period of up to 60 days
- **Maximum Order Price:** 0.74 USDC per SOLO (interpreted as a maximum program TWAP)
- **Estimated SOLO Acquired:** Approximately 1,351,351.35 SOLO, assuming full use of the acquisition facility at the maximum program TWAP

Process

This proposal includes instructions to execute a recurring SOLO acquisition program using DAO treasury funds in an aggregate amount of up to **1,000,000 USDC** over a period of up to **60 days**, subject to a **maximum program TWAP of 0.74 USDC per SOLO**. Any SOLO acquired pursuant to this proposal shall be retained in the DAO treasury and accounted for as Restricted SOLO Incentives Reserve property.

Section 1. Authorization of SOLO Acquisition

Resolved, that the DAO hereby authorizes a capped SOLO acquisition program funded from DAO treasury using the parameters specified in this Proposal.

Resolved further, that all SOLO acquired pursuant to this Proposal shall be retained in the DAO treasury and designated on the DAO's books and records as Restricted SOLO Incentives Reserve property.

Section 2. Designation of Restricted SOLO Incentives Reserve

Resolved, that all SOLO acquired pursuant to this Proposal shall be held in the DAO treasury and designated as Restricted SOLO Incentives Reserve property of the DAO.

The Designated Purpose of the Restricted SOLO Incentives Reserve is to support SOLO backed incentive programs intended to reward participation, deepen alignment, and support long term ecosystem growth, including the future pips program and any substantially similar successor or related participation based framework later approved by governance.

Resolved further, that pips, and any substantially similar successor participation framework approved by governance, shall have first call priority on the Restricted SOLO Incentives Reserve.

Resolved further, that until amended by express later governance action, the Restricted SOLO Incentives Reserve shall remain earmarked for its Designated Purpose and shall not be repurposed, redirected, impaired, or clawed back by any signer, contributor, service provider, committee, operator, or other person acting without such governance approval.

Section 3. No Current Deployment Authority

Resolved, that this Proposal does not establish the live Incentives Subcommittee or appoint its members.

Resolved further, that this Proposal does not authorize any person or body to distribute, commit, allocate, sell, transfer, make claimable, or otherwise deploy Restricted SOLO Incentives Reserve assets at this time.

Until later governance action establishes and approves the live Incentives Subcommittee and any applicable activation framework, reserve SOLO shall remain held in the DAO treasury and accounted for solely for its Designated Purpose.

Section 5. Core Guardrails

Unless expressly approved by later governance action:

- reserve SOLO shall remain held in the DAO treasury and separately accounted for as Restricted SOLO Incentives Reserve property;
- reserve SOLO may not be self dealt, privately allocated, or directed to insiders or affiliates on preferential terms;
- reserve SOLO may not be manually transferred wallet to wallet to selected recipients as a discretionary allocation method;
- reserve SOLO may not be sold or otherwise disposed of below prevailing market price;
- reserve SOLO may not be lent, pledged, staked, paired for liquidity, used as collateral, used as market making inventory, or used for compensation; and
- any unused, expired, forfeited, cancelled, or unclaimed reserve SOLO shall be burned unless governance expressly directs otherwise.

Plain English

If adopted, this proposal means:

- the DAO can acquire SOLO now;
- that SOLO is ring-fenced now for future incentive use;
- Pips has priority on that reserve;
- nobody can use or redirect that reserve on discretion alone; and
- a future Incentives Subcommittee can be voted in later to steward it.

Links

- Full normative resolution text (controls if there is any conflict with this summary): DP-00002_MEM-full.md
- Compiled Company Agreement PDF: Company_Agreement_SOLOMON_DAO_LLC.pdf
- Proposal repository (canonical history + execution artefacts): https://github.com/SolomonDAOrg/dao-proposals
- SOP Registry (canonical): https://github.com/SolomonDAOrg/sop-registry

Disclaimer (Governance Proposal; No Professional Advice).

This document is a governance proposal and governance communication.

If adopted by the DAO through its governance mechanisms, it may become binding on the DAO and persons exercising authority under the Company Agreement to the extent provided in the Company Agreement and applicable law.

This document does not constitute legal, tax, financial, or other professional advice.

The author(s) are not acting as legal counsel to the DAO or any member or user. No attorney-client relationship is created.

You must obtain your own independent advice for your circumstances.

DP-00002: SOLO Acquisition and Restricted Incentives Reserve Framework

Status: Draft (intended for ratification via Governance System)

Version: 1.0.2

Owner: SOLOMON DAO LLC (via Governance System)

Applies to: DAO governance participants; persons executing treasury transactions under existing DAO authority; custodians of the Acquisition Facility and any DAO treasury wallet or vault holding acquired SOLO;

any later approved Incentives Subcommittee or substantially similar successor body.

Effective date: Upon ratification by Governance System **and** successful on-chain execution of the Execution Bundle (as defined below).

Authority note: This Resolution authorizes acquisition and reserve designation only. It does not establish the live Incentives Subcommittee, appoint its members, or grant present authority to distribute, commit, allocate, sell, transfer, make claimable, or otherwise deploy Restricted SOLO Incentives Reserve assets.

Confidentiality classification: Public (operational/security-sensitive details may be handled under appropriate confidentiality controls)

Supersedes: None

Related: DP-00001 (pre-formation treasury designates + legal budget);

any later proposal establishing the live Incentives Subcommittee; any later proposal activating pips or any substantially similar successor participation based framework.

Intellectual Property Firewall

"Protocol" in this Resolution has the same meaning as **"Protocol IP"** as defined in the Company Agreement of SOLOMON DAO LLC (Operating Agreement §2.1(17)) — design, documentation, code, repositories, and other intellectual property. It does not mean an operating business, service, issuer, custodian, counterparty, or other person or entity.

Nothing in this Resolution authorizes the Company, the Head Steward, or any Subcommittee to direct, supervise, or control the operations of any Licensee, counterparty, service provider, or other person. Any external obligations arise only under the applicable License or other written agreement, and only to the extent expressly stated there.

1. Purpose

This Resolution does two things:

1. Authorizes and funds a capped SOLO acquisition program (on-chain), with binding constraints and required reporting.
2. Requires that all SOLO acquired under that program be retained and separately accounted for as **Restricted SOLO Incentives Reserve** property pending later governance activation.

2. Operative rule

This is normative text proposed for adoption by Governance System. If (and only if) it is adopted and the Execution Bundle executes successfully, the operative clauses below are effective as stated.

3. Definitions

1. **"Acquisition Facility"** means the recurring order, vault, wallet, or other execution arrangement specified in §5.1 that is used to implement the authorized SOLO acquisition program.
2. **"Acquisition Program"** means the capped SOLO acquisition program authorized by this Resolution.
3. **"Execution Bundle"** means the on-chain transactions that implement the on-chain portions of this Resolution.
4. **"Governance System"** means the on-chain mechanism by which this Resolution is adopted and executed.
5. **"Incentives Subcommittee"** means the contemplated post-formation company-side incentives subcommittee, if later established or activated by governance.
6. **"Restricted SOLO Incentives Reserve"** means the SOLO acquired under this Resolution and designated for the Designated Purpose described in §4.4.
7. **"SOLO"** means the SOLO token (mint/address: `SoLo9oxzLDpcq1dpqAgMwgce5WqkRDtNXK7EPnbmeta`).
8. **"Stable Asset"** means `USDC` (mint/address: `EPjFWdd5AufqSSqeM2qN1xzybapC8G4wEGGkZwyTDt1v`).
9. **"Treasury Executor"** means the existing DAO treasury execution authority that can lawfully execute on-chain treasury operations today (e.g. current treasury multisig / authorized operators under current governance).
10. **"TWAP"** means time-weighted average price.

4. SOLO acquisition authorization and reserve designation

4.1 Authorization

RESOLVED: The DAO authorizes the Acquisition Program, subject to the binding constraints in §6.

4.2 Cap and window

RESOLVED: The Acquisition Program is capped as follows:

- max spend (Stable Asset): `1,000,000 USDC`
- program duration: **up to 60 days** from commencement

4.3 Maximum program TWAP and estimated acquisition

RESOLVED: The effective aggregate program TWAP for SOLO acquired under the Acquisition Program must not exceed `0.74 USDC per SOLO`.

RESOLVED: On the assumption that the full spend cap is used at the maximum permitted program TWAP, the Acquisition Program would acquire approximately `1,351,351.35 SOLO`, before fees, slippage, routing differences, and any unspent residual Stable Asset.

4.4 Custody, reserve status, and designated purpose

RESOLVED: All SOLO acquired under the Acquisition Program shall be retained in DAO treasury custody and designated on the DAO's books and records as **Restricted SOLO Incentives Reserve** property.

RESOLVED: The Designated Purpose of the Restricted SOLO Incentives Reserve is to support SOLO-backed incentive programs intended to reward participation, deepen alignment, and support long-term ecosystem growth, including pips and any substantially similar successor or related participation based framework later approved by governance.

RESOLVED: pips, and any substantially similar successor participation framework approved by governance, shall have first call priority on the Restricted SOLO Incentives Reserve.

RESOLVED: Until amended by express later governance action, the Restricted SOLO Incentives Reserve shall remain earmarked for its Designated Purpose and shall not be repurposed, redirected, impaired, or clawed back by any signer, contributor, service provider, committee, operator, or other person acting without such governance approval.

5. Acquisition Facility funding and implementation

5.1 Acquisition Facility designation

RESOLVED: The Acquisition Facility may consist of a Jupiter recurring order or other substantially similar recurring on-chain execution arrangement consistent with this Resolution.

RESOLVED: The specific Acquisition Facility wallet, order account, vault, or related execution address may be designated in the Execution Bundle or related implementation instructions, provided the facility remains subject to this Resolution.

5.2 Transfer instruction (Execution Bundle)

RESOLVED: The Execution Bundle shall transfer up to `1,000,000 USDC` of Stable Asset from DAO treasury to the Acquisition Facility.

5.3 Treatment of unspent Stable Asset

RESOLVED: Any Stable Asset not spent under the Acquisition Program remains DAO treasury property and shall be returned to, or continuously recognized as held for, DAO treasury.

6. Binding execution constraints (must comply)

RESOLVED: The Treasury Executor must execute the Acquisition Program in compliance with all constraints below:

1. **No leverage:** no borrowing, margin, leverage, or derivatives may be used to implement acquisitions.
2. **Dispersed execution:** acquisitions must be dispersed over time using recurring or otherwise time-distributed execution rather than a single discretionary block purchase.
3. **Operational sizing and cadence:** order sizing, frequency, and interval may vary during the approved window, provided execution remains recurring/dispersed and all other constraints in this Resolution are met.
4. **Price discipline:** the effective aggregate program TWAP must not exceed `0.74 USDC per SOLO`.
5. **Prohibited behavior:** no wash trading; no trades intended to mislead market participants.
6. **Cap enforcement:** cumulative Stable Asset spent must not exceed `1,000,000 USDC`.
7. **Window enforcement:** execution must cease no later than the end of the approved 60 (sixty) day program duration unless completed earlier because the cap is exhausted.
8. **Transfer of acquired SOLO:** acquired SOLO must be transferred promptly to DAO treasury custody, unless the Acquisition Facility itself is expressly designated as that custody location.
9. **No unauthorized deployment:** no acquired SOLO may be distributed, sold, lent, pledged, staked, paired for liquidity, used as collateral, used as market making inventory, used for compensation, or otherwise deployed except as expressly permitted by this Resolution or by later governance action.

7. Reporting (binding)

RESOLVED: A public report shall be posted at reasonable intervals during the program window and once at completion, including:

- total Stable Asset spent (cumulative)
- total SOLO acquired (cumulative)
- total SOLO retained as Restricted SOLO Incentives Reserve (current balance)
- effective average acquisition price, including time-weighted treatment where reasonably available
- ending balances of the Acquisition Facility and relevant treasury custody location(s)
- transaction identifiers / links

8. No current deployment authority

RESOLVED: This Resolution does not establish the live Incentives Subcommittee or appoint its members.

RESOLVED: This Resolution does not authorize any person or body to distribute, commit, allocate, sell, transfer, make claimable, or otherwise deploy Restricted SOLO Incentives Reserve assets at this time.

RESOLVED: Until later governance action establishes and approves the live Incentives Subcommittee and any applicable activation framework, reserve SOLO shall remain held in DAO treasury custody and accounted for solely for its Designated Purpose.

9. Core guardrails

Unless expressly approved by later governance action:

- reserve SOLO shall remain held in DAO treasury custody and separately accounted for as Restricted SOLO Incentives Reserve property;
- reserve SOLO may not be self-dealt, privately allocated, or directed to insiders or affiliates on preferential terms;
- reserve SOLO may not be manually transferred wallet to wallet to selected recipients as a discretionary allocation method;
- reserve SOLO may not be sold or otherwise disposed of below prevailing market price;
- reserve SOLO may not be lent, pledged, staked, paired for liquidity, used as collateral, used as market making inventory, or used for compensation; and
- any unused, expired, forfeited, cancelled, or unclaimed reserve SOLO shall be burned unless governance expressly directs otherwise.

10. Future governance

A later governance action may establish the live Incentives Subcommittee, appoint or approve its members, adopt activation controls, approve claims mechanics or other distribution logic, and authorize deployment of Restricted SOLO Incentives Reserve assets for the Designated Purpose.

Until that later governance action is adopted, no signer, contributor, service provider, committee, operator, or other person may rely on this Resolution as authority to deploy reserve SOLO.

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